

ACME Corp

Financial Statement Report

Period: Q2 2025

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Executive Summary

Executive Summary – Regulatory Reporting Package --- ## Financial Position and Compliance Overview The company reports total assets of ****\$18.18 million**** against total liabilities of ****\$13.02 million****, yielding total equity of ****\$5.16 million**** and a balanced balance sheet. However, several line items within the balance sheet present negative values in categories where negative balances are atypical — including inventory (–\$357,983), prepaid expenses (–\$110,055), property, plant and equipment (–\$68,545), and multiple liability sub-accounts such as taxes payable (–\$183,228) and deferred revenue (–\$76,873). Per the applicable GAAP rule that ****"assets, liabilities, and equity should be classified and presented consistently on the balance sheet in accordance with GAAP,"**** these anomalous negative balances require immediate review and reclassification prior to final submission. Negative inventory balances, for example, are not permissible under standard cost accounting frameworks and may indicate data integrity issues, misclassification between accounts, or system-generated errors that must be corrected or disclosed. Regulators will scrutinize these presentations, and failure to resolve them could trigger material restatement inquiries. --- ## Revenue, Expense Matching, and Profitability Concerns The company generated ****\$33.46 million in total revenue**** across ten distinct revenue streams — including product sales, subscriptions, licensing, and notably ****\$3.63 million in interest income**** and ****\$3.38 million in foreign exchange gains**** — against ****\$33.85 million in total expenses****, resulting in a ****net loss of –\$387,195**** and a net margin of ****–1.16%****. Under the GAAP principle that ****"revenue recognition should be recorded when performance obligations are satisfied and control transfers to the customer,"**** each revenue category — particularly subscription revenue, maintenance revenue, warranty revenue, and deferred revenue — must be supported by documentation confirming that performance obligations have been fully satisfied in the reporting period. Additionally, the GAAP matching principle requires that ****"expenses be matched to the periods in which the related revenues are earned or the economic benefits are consumed;"**** the high and notably uniform expense figures across all ten expense categories (each clustering between \$3.1M and \$3.75M) warrant scrutiny to confirm that period-appropriate allocation has been applied and that no expenses have been prematurely or improperly recognized. --- ## Business Implications and Required Disclosures From a business perspective, the company faces meaningful near-term risk. The ****current ratio of 1.40**** indicates adequate short-term liquidity on its face, but this figure is influenced by the questionable negative asset balances noted above, meaning true liquidity may differ from what is reported. The ****debt-to-equity ratio of 2.53**** signals material financial leverage, and the ****return on assets of –2%**** confirms that existing assets are not generating sufficient returns to cover operating costs. The accounts payable balance of ****\$13.37 million**** — representing the dominant liability — deserves particular attention relative to the company's revenue cycle and cash position of ****\$5.66 million****, as it suggests potential strain on near-term cash obligations. Per the GAAP requirement

that **"material estimates, contingencies, and related disclosures should be reviewed for completeness and consistency,"** management must ensure that all footnote disclosures — including those related to warranty liabilities, customer deposits, lease obligations, and foreign exchange exposures — are complete, consistent with balance sheet figures, and reflect current estimates. Correcting the data anomalies identified above and providing robust disclosure is essential before this package is submitted to regulators.

Balance Sheet

Total Assets	18179635.12
Total Liabilities	13023599.67
Total Equity	5156035.45
Balanced	Yes

Income Statement

Total Revenue	33459887.39
Total Expenses	33847082.03
Net Income	-387194.64
Net Margin %	-1.16

Key Ratios

current_ratio	1.4
debt_to_equity	2.53
net_margin	-0.01
return_on_assets	-0.02

MD&A Commentary

```
{  
  "balance_sheet": "## Balance Sheet \u2014 Management Discussion & Anal  
  "income_statement": "## Management Discussion & Analysis \u2014 Income  
  "ratios": "## Liquidity, Leverage, and Profitability \u2014 Management  
}
```

Anomaly Flags

Item	Type	Detail
Cash	period_change	Balance changed by 27.69% versus prior period
Inventory	period_change	Balance changed by -1093.27% versus prior period
Inventory	normal_balance_violation	Account has a negative balance inconsistent with a debit-normal account
Prepaid Expenses	normal_balance_violation	Account has a negative balance inconsistent with a debit-normal account
Property Plant and Equipment	period_change	Balance changed by 53.72% versus prior period
Property Plant and Equipment	normal_balance_violation	Account has a negative balance inconsistent with a debit-normal account
Accumulated Depreciation	period_change	Balance changed by -84.03% versus prior period
Short Term Investments	period_change	Balance changed by -137.84% versus prior period
Short Term Investments	normal_balance_violation	Account has a negative balance inconsistent with a debit-normal account
Long Term Investments	period_change	Balance changed by 253.09% versus prior period
Intangible Assets	period_change	Balance changed by -288.19% versus prior period

Item	Type	Detail
Intangible Assets	normal_balance_violation	Account has a negative balance inconsistent with a debit-normal account
Other Assets	period_change	Balance changed by 226.03% versus prior period
Additional Paid-In Capital	period_change	Balance changed by -41.17% versus prior period
Retained Earnings	period_change	Balance changed by 42.85% versus prior period
Retained Earnings	normal_balance_violation	Account has a negative balance inconsistent with a credit-normal account
Treasury Stock	period_change	Balance changed by 28.04% versus prior period
Other Comprehensive Income	period_change	Balance changed by -34.72% versus prior period
Dividend Payable	period_change	Balance changed by 39.71% versus prior period
Contributed Surplus	period_change	Balance changed by 81.34% versus prior period
Accrued Expenses	period_change	Balance changed by 362.15% versus prior period
Short Term Debt	normal_balance_violation	Account has a negative balance inconsistent with a credit-normal account
Long Term Debt	period_change	Balance changed by 188.14% versus prior period

Item	Type	Detail
Deferred Revenue	period_change	Balance changed by -165.96% versus prior period
Deferred Revenue	normal_balance_violation	Account has a negative balance inconsistent with a credit-normal account
Taxes Payable	period_change	Balance changed by -756.44% versus prior period
Taxes Payable	normal_balance_violation	Account has a negative balance inconsistent with a credit-normal account
Customer Deposits	period_change	Balance changed by 34.1% versus prior period
Customer Deposits	normal_balance_violation	Account has a negative balance inconsistent with a credit-normal account
Warranty Liability	period_change	Balance changed by -109.28% versus prior period
Warranty Liability	normal_balance_violation	Account has a negative balance inconsistent with a credit-normal account
Lease Liability	period_change	Balance changed by 66.9% versus prior period
Lease Liability	normal_balance_violation	Account has a negative balance inconsistent with a credit-normal account
Other Liabilities	period_change	Balance changed by -1818.82% versus prior period
Other Liabilities	normal_balance_violation	

Item	Type	Detail
		Account has a negative balance inconsistent with a credit-normal account

Explanations

Item	Type	Detail
Cash	period_change	
Inventory	period_change	
Inventory	normal_balance_violation	
Prepaid Expenses	normal_balance_violation	
Property Plant and Equipment	period_change	
Property Plant and Equipment	normal_balance_violation	
Accumulated Depreciation	period_change	
Short Term Investments	period_change	
Short Term Investments	normal_balance_violation	
Long Term Investments	period_change	
Intangible Assets	period_change	
Intangible Assets	normal_balance_violation	
Other Assets	period_change	
Additional Paid-In Capital	period_change	
Retained Earnings	period_change	
Retained Earnings	normal_balance_violation	
Treasury Stock	period_change	
Other Comprehensive Income	period_change	
Dividend Payable	period_change	
Contributed Surplus	period_change	
Accrued Expenses	period_change	

Item	Type	Detail
Short Term Debt	normal_balance_violation	
Long Term Debt	period_change	
Deferred Revenue	period_change	
Deferred Revenue	normal_balance_violation	
Taxes Payable	period_change	
Taxes Payable	normal_balance_violation	
Customer Deposits	period_change	
Customer Deposits	normal_balance_violation	
Warranty Liability	period_change	
Warranty Liability	normal_balance_violation	
Lease Liability	period_change	
Lease Liability	normal_balance_violation	
Other Liabilities	period_change	
Other Liabilities	normal_balance_violation	

Audit Trail Appendix

Item	Type	Detail
report_started	claude-sonnet-4-6	2026-08-07 05:40:46.865810
period_loaded	claude-sonnet-4-6	2026-08-07 05:40:46.964936
balance_sheet_ready	claude-sonnet-4-6	2026-08-07 05:40:47.238712
income_statement_ready	claude-sonnet-4-6	2026-08-07 05:40:47.444102
ratios_ready	claude-sonnet-4-6	2026-08-07 05:40:47.870922
anomalies_ready	claude-sonnet-4-6	2026-08-07 05:40:48.247891
retrieved_rules	claude-sonnet-4-6	2026-08-07 05:40:49.758652
executive_summary	claude-sonnet-4-6	2026-08-07 05:41:08.403396
executive_summary_generated	claude-sonnet-4-6	2026-08-07 05:41:08.452206
mda_commentary	claude-sonnet-4-6	2026-08-07 05:41:31.833454
mda_commentary	claude-sonnet-4-6	2026-08-07 05:41:53.976574
mda_commentary	claude-sonnet-4-6	2026-08-07 05:42:14.738737
mda_commentary_generated	claude-sonnet-4-6	2026-08-07 05:42:14.789044
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:42:30.223950
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:42:45.367838
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:43:04.013803

Item	Type	Detail
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:43:21.944882
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:43:43.790069
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:44:02.400487
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:44:23.235144
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:44:44.629788
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:45:06.566854
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:45:28.672703
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:45:50.209030
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:46:09.440991
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:46:26.695884
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:46:48.367038
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:47:05.230751
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:47:19.918283
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:47:42.985678
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:47:58.291940
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:48:20.322944
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:48:41.922805

Item	Type	Detail
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:49:05.158222
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:49:21.112413
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:49:40.076347
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:49:59.968855
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:50:20.034703
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:50:38.401606
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:50:56.006640
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:51:20.851068
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:51:39.605658
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:51:59.416859
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:52:16.630853
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:52:33.771131
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:52:53.890901
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:53:15.517088
anomaly_explanation	claude-sonnet-4-6	2026-08-07 05:53:33.681189
anomaly_explanations_generated	claude-sonnet-4-6	2026-08-07 05:53:33.729696